

sections and 14 schedules are clauses that can benefit ordinary taxpayers-provided they know how to claim those benefits.

The phrase 'tax savings' usually brings to mind life insurance, Public Provident Fund, National Savings Certificate, and equity-linked savings schemes, among others, that qualify for tax deduction under Section 80 C of the Income-Tax Act. An individual can claim tax deductions of up to ₹1.5 lacs under Section 80 C. All this is pretty well known.

However, there are other 'lesser known' avenues that offer additional tax breaks to individuals. They are not widely discussed as they involve special situations in life.

In this section we give some little-known tax benefits you may be entitled to, which can help you save tax over and above the tax saving investments you make during the year. These laws are true to the best of my knowledge at the time this book revision was being written. Income tax laws undergo frequent changes and this education must be a part of the ongoing "Sharpen your Financial Saw" activity that you should pursue. These laws are by no means, explicit or elaborate.

Use losses in stocks to cut tax

Can you gain from the short-term losses you made on stocks? Yes, says the Income Tax Act. If you have made any long-term capital gains from the sale of property, gold or debt funds, you can offset them against short-term capital losses made on stocks and bring down your tax liability. Short-term capital losses can be set off against both short-term capital gains as well as taxable long-term capital gains.

This can be especially useful for someone who has booked profits on gold ETFs and physical gold. Suppose you have sold some property and made a long-term capital gain of ₹30 lacs after indexation.

At 20%, the tax payable on this long-term capital gain is ₹6 lacs. However, if you have also sold some junk stocks during the year and made a short-term loss of ₹3 lacs, you can set this off against the gains from the property. Then the gain from the property will be reduced to only ₹27 lacs